RRSP Guide

Registered Retirement Savings Plan rules for 2026 · limits · deadlines · tax · the Canada-US treaty · what to hold

The RRSP is Canada's main retirement account. What you contribute is deducted from your income, so you get a tax refund now. Everything grows tax-deferred, and you pay tax only when you take money out, usually in retirement at a lower rate. It is also the one Canadian account where US dividends are paid with no US withholding tax.

CONTRIBUTION RULES FOR 2026

Rule	Detail
2026 dollar maximum	$33,810 (it rises to $35,390 for 2027).
Your personal limit	18% of your 2025 earned income, up to the maximum, minus any pension adjustment (PA) from a workplace pension, plus unused room from earlier years. It's on your Notice of Assessment and in CRA My Account.
Deadline	March 1, 2027 to deduct on your 2026 return. Contributions made in the first 60 days of a year can count for the year before.
Unused room	Carries forward with no expiry. Room is created by earned income, so there's no minimum age, and you can contribute until December 31 of the year you turn 71.
Over-contribution	You have a $2,000 cumulative buffer. Above it, the tax is 1% per month on the excess, reported on Form T1-OVP. Withdraw the excess as soon as you notice.
Contribute now, deduct later	You don't have to claim the deduction in the year you contribute. Carrying it forward makes sense if you expect a higher tax bracket next year.
Spousal RRSP	You can use your own room to contribute to your spouse's RRSP. Withdrawals within 3 calendar years of your last contribution are taxed back to you.

TAX ON CONTRIBUTIONS, GROWTH AND WITHDRAWALS

Item	Treatment	Where it shows
Contributions	Deducted from your taxable income. At $100,000 of income, each $1,000 contributed saves $205 in federal tax, plus provincial tax.	Line 20800
Growth inside the RRSP	Capital gains, dividends and interest aren't taxed while they stay in the plan.	Nothing to report
Canadian dividends	No tax now, but the dividend tax credit is lost: withdrawals are taxed as ordinary income.	Nothing to report
US dividends	0% US withholding on US-listed stocks and ETFs held directly. Not on Canadian-listed ETFs that hold US stocks.	Nothing to report
Withdrawals	Added to your income and taxed at your marginal rate. The room you used is not given back.	Line 12900, T4RSP slip

Item	Treatment	Where it shows
Tax withheld at source	Your broker withholds 10% up to $5,000, 20% from $5,000 to $15,000 and 30% above $15,000 (Quebec rates differ). It counts toward your final tax bill.	T4RSP slip

THE CANADA-US TAX TREATY: 0% IN AN RRSP

The Canada-US tax treaty treats your RRSP as a retirement plan, so the US doesn't withhold tax on dividends paid to it. In a TFSA, the same dividends lose 15% that can't be recovered. In a non-registered account the 15% is taken too, but you can usually claim it back as a foreign tax credit.

What you hold	RRSP	TFSA	Non-registered
US stocks held directly (KO, JNJ, XOM, MCD)	0%	15%, lost	15%, usually recovered as a foreign tax credit
US-listed ETFs (SPY, VTI, VIG, SCHD)	0%	15%, lost	15%, usually recovered as a foreign tax credit
Canadian-listed ETFs holding US stocks (TSE:VFV, TSE:XSP)	15%, lost inside the fund	15%, lost inside the fund	15%, lost inside the fund

Example: $80,000 of US dividend stocks yielding 4% pays $3,200 a year. In a TFSA, $480 of that goes to US tax every year. In an RRSP you keep all $3,200. Reinvested at 7% for 20 years, that $480 a year grows to about $19,700.

WHAT TO HOLD IN AN RRSP

Investment	Fit	Why
US dividend stocks (KO, JNJ, XOM, MCD)	Excellent	0% US withholding. Enter the ticker only (KO, not NASDAQ:KO).
US-listed ETFs (SPY, VTI, VIG, SCHD)	Excellent	Also 0% US withholding. You buy them in USD.
Bonds, GICs and bond ETFs (TSE:XBB)	Good	Interest is taxed at your full rate outside a registered account, so sheltering it here helps.
TSX-listed US ETFs (TSE:XSP, TSE:VFV)	OK	Convenient in CAD, but the 15% US withholding still applies inside the fund.
Canadian dividend stocks (TSE:RY, TSE:ENB)	Better elsewhere	The dividend tax credit is lost in an RRSP. A TFSA or non-registered account usually suits them better.
Speculative single stocks	Caution	Losses inside an RRSP can't be claimed, and room used on a loss is gone.

WITHDRAWAL PROGRAMS AND AGE 71

Program	Detail
Home Buyers' Plan (HBP)	First-time buyers can withdraw up to $60,000 tax-free to buy a home, and repay it over 15 years.
Lifelong Learning Plan (LLP)	Up to $10,000 a year and $20,000 in total for full-time education for you or your spouse, repaid over 10 years.
Turning 71	By December 31 of the year you turn 71, convert your RRSP to a RRIF (or buy an annuity). A RRIF has a minimum withdrawal every year after that.

This guide is for general education and reflects CRA rules for the 2026 tax year. Rules change. Talk to a tax professional about your situation.

Sources: canada.ca (MP, DB, RRSP and TFSA limits; RRSP excess contributions and Form T1-OVP; withholding rates on RRSP withdrawals; Home Buyers' Plan; Lifelong Learning Plan). Canada-US Tax Convention, Article XXI.